

well enough with a gain of about 6% by February, but then we see a shocking drop from that level all the way down to -12% in a matter of days (Figures 6.31 and 6.32). Such swift losses are extremely painful and they can quickly shake the confidence of your investors. You'll have some explaining to do.

This this substantial loss isn't the worst thing that'll happen to you this year. From that bottom in March, we move slowly but steadily and even manage to not only climb above zero, but all the way up to over 10% gain on

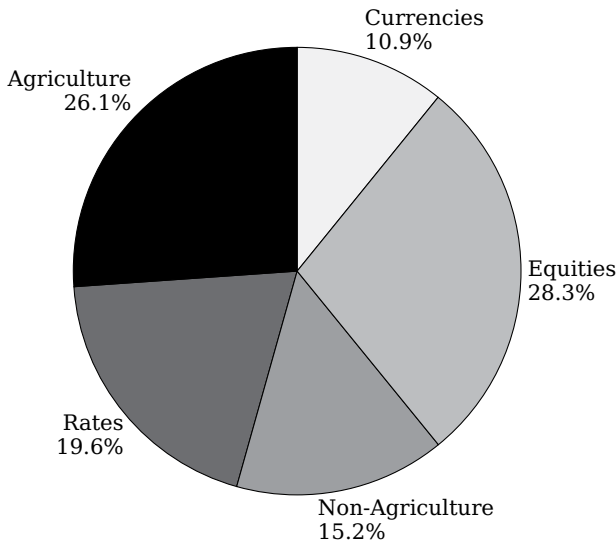


FIGURE 6.31 Sector allocation 2007.

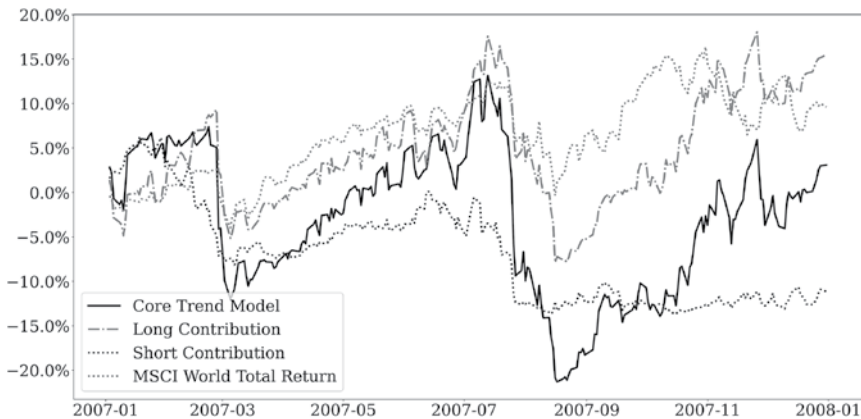


FIGURE 6.32 Strategy performance 2007.